5.4

Statement of Financial Position

Cambridge IGCSE Business

- What It Shows
- Assets
- Liabilities
- Capital Employed
- Calculations
- Making Decisions

Statement of Financial Position

The statement of financial position (balance sheet) shows what a business OWNS (assets) and what it OWES (liabilities) at a single point in time. It is a snapshot of financial health.

- Identify non-current and current assets and liabilities
- Explain the concept of capital employed
- Make calculations: total assets, liabilities, working capital
- Make decisions based on a simple statement of financial position

The Statement of Financial Position

What it shows · Assets · Liabilities · Capital employed

The Statement of Financial Position – What It Shows

The statement of financial position (previously called the balance sheet) shows what a business owns and what it owes on ONE specific date — it is a financial snapshot, not a period of time.

Assets vs Liabilities — What Goes Where

Non-Current Assets	Current Assets	Non-Current Liabilities	Current Liabilities
Owned for MORE than 1 year	Owned for LESS than 1 year	Owed for MORE than 1 year	Owed for LESS than 1 year
• Land and buildings	• Inventory (stock held)	• Bank loan (5-year+)	• Trade payables (creditors)
• Machinery and equipment	• Trade receivables (debtors)	• Mortgage on property	• Bank overdraft
• Vehicles	• Cash in bank	• Long-term bonds	• Tax owed this year
• Long-term investments	• Short-term investments	• Deferred tax	• Short-term loans

Net Assets = Total Assets – Total Liabilities · Working Capital = Current Assets – Current Liabilities

THE ACCOUNTING EQUATION: Assets = Liabilities + Capital | Net Assets = Total Assets – Total Liabilities | Net Assets = Capital Employed

Working Capital = Current Assets – Current Liabilities (the money available for day-to-day operations)

Positive Working Capital	Current assets > current liabilities — business can meet short-term debts. Financially healthy.
Zero Working Capital	Current assets = current liabilities — no cushion. Any unexpected bill could cause a problem.
Negative Working Capital	Current assets < current liabilities — business cannot pay its short-term debts. Crisis situation.

Exam tip: Non-current = held for MORE than 1 year. Current = held for LESS than 1 year. This applies to BOTH assets and liabilities. Working capital uses ONLY current items.

Reading a Statement of Financial Position – Worked Example

In the exam you will be given a statement of financial position and asked to calculate working capital, total assets, net assets or capital employed. Always show your working.

Statement of Financial Position

Riverside Café — as at 31 December 2025

Item	£
NON-CURRENT ASSETS	
Property / premises	80,000
Equipment and machinery	12,000
Vehicles	8,000
Total Non-Current Assets	100,000
CURRENT ASSETS	
Inventory (stock)	4,500
Trade receivables (debtors)	3,200
Cash and bank	6,800
Total Current Assets	14,500
TOTAL ASSETS	
TOTAL ASSETS	114,500
NON-CURRENT LIABILITIES	
Bank loan (10-year)	(40,000)
Total Non-Current Liabilities	(40,000)

orking Capital = Current Assets − Current Liabilities = £14,500 − £7,000 = £7,500 · Capital Employed = Total Assets − Total Liabiliti

Key calculations:

Total Assets
Non-current Assets + Current Assets
£100,000 + £14,500 = £114,500

Total Liabilities
Non-current + Current Liabilities
£40,000 + £7,000 = £47,000

Working Capital
Current Assets – Current Liabilities
£14,500 – £7,000 = £7,500

Net Assets
Total Assets – Total Liabilities
£114,500 – £47,000 = £67,500

Capital Employed
= Net Assets (funded by owners)
= £67,500

Exam tip: Always check: do the numbers balance? Net Assets MUST equal Capital Employed. If they don't, you've made an arithmetic error somewhere in your calculation.

Capital Employed – What It Is and Why It Matters

Capital employed is the total amount of money invested in a business by its owners and long-term lenders. It represents the financial foundation of the business.

Capital Employed — What It Measures

Method 1

Formula:
Total Assets – Total Liabilities

= £114,500 – £47,000 = £67,500
What the business is worth to its owners

Method 2

Formula:
Share capital + Retained profit

= £50,000 + £17,500 = £67,500
How the business was funded by owners

Why capital employed matters:

Used in ROCE ratio: Return on Capital Employed = (Net Profit ÷ Capital Employed) × 100
A higher ROCE means the business is using its invested funds more efficiently to generate profit

Link to ROCE (5.5):

ROCE = (Net Profit ÷ Capital Employed) × 100

Riverside Café: (£17,400 ÷ £67,500) × 100 = 25.8% ROCE

This means for every £100 invested in the business, it generates £25.80 of net profit. The higher, the better.

What decisions can a manager make from the statement of financial position?

Positive working capital (£7,500)	Business is liquid — can pay its short-term debts. No immediate cash flow crisis to manage.
High non-current assets (£100,000)	Significant assets tied up in property and equipment — review if all are being used efficiently.
Long-term loan (£40,000)	Significant long-term debt — ensure net profit is sufficient to meet future loan repayments.
Strong net assets (£67,500)	Good financial position — positive book value makes it easier to raise further finance if needed.
Inventory level (£4,500)	Monitor stock levels — too high = cash tied up. Too low = risk of running out and losing sales.

Exam tip: Capital employed links directly to ROCE in section 5.5. A higher capital employed means the business needs to earn more profit to achieve the same ROCE percentage.

Key Revision Checklist – 5.4 Statement of Financial Position

What it shows	A snapshot of what a business OWNS (assets) and OWES (liabilities) on one specific date
Non-current assets	Owned for more than 1 year: property, machinery, vehicles, long-term investments
Current assets	Owned for less than 1 year: inventory (stock), trade receivables (debtors), cash
Non-current liabilities	Owed for more than 1 year: bank loans, mortgages, long-term bonds
Current liabilities	Owed for less than 1 year: trade payables (creditors), bank overdraft, tax due
Working Capital	Current Assets – Current Liabilities. Positive = healthy liquidity. Negative = cash flow crisis.
Total Assets	Non-current Assets + Current Assets. Everything the business owns.
Net Assets	Total Assets – Total Liabilities. What the business is worth to its owners.
Capital Employed	= Net Assets. The total funds invested by owners and long-term lenders. Used in ROCE calculation.